



Credit unions

Member-owned, non-profit financial organizations, credit unions provide savings, credit, and other financial services to their members.

How it works

Originating in Germany in the mid-19th century, credit unions are non-profit financial cooperatives set up by members, who share a “common bond”, for their mutual benefit. The connection between members may, for example, be living in the same town, working in the same industry, or belonging to the same trade union or community group.

Traditionally very small organizations, today around 217 million people around the world are members of a credit union. Some of the larger unions have hundreds of thousands of members and assets worth several billion US dollars.

Credit unions are most prevalent in low-income areas and can be especially useful to those with lower credit scores who fail to qualify for high-street loans, or are charged higher rates on such loans because of their scores. Members also tend to benefit from paying fewer fees. Some unions require members to save with them before they can borrow money, as unions finance their loan portfolios by pooling their members’ deposits, rather than relying on outside capital. Savings are however still covered up to set limits by government-backed compensation schemes in the event that the credit union ceases trading.

Not for profit

Credit unions are similar to mutual building societies in that they are owned by their members (customers), who each have one vote to elect a board of directors to run the organization. However, credit unions focus on community banking services that benefit members rather than on profit and returns to external shareholders. Surplus revenue is invested back in the credit union to provide personalized service, financial advice, better products, and rates that are as competitive as possible.

Not for profit

The aim is to serve members, not to make a profit. Any surplus revenue is re-invested in running the business.



Owned by members

Members elect a board of directors to run the business. Each member has one vote.



Community orientated

Members share a common link such as employment, religion, or the area where they live.



Personalized service

Staff are committed to helping members to improve their financial situation.



Financially inclusive

Customers are often from financially disadvantaged groups who fail to qualify for mainstream financial products.



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